INSURING LIVES
SUPPORTING WOMEN
SERVING COMMUNITIES℠

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Commission Addendum

Table of Commission Percentages and Service Fees

Commissions and Service Fees are payable on Certificates issued after the effective date of *Contract to Represent* to which this Addendum is attached. First Year Commissions and Renewal Commissions are vested in accordance with Section E of this Contract. Service Fees are not payable if this Contract has been terminated for any reason.

PLAN OF INSURANCE	ISSUE AGES	FIRST YEAR % (1,2)			RENEWAL % (1,2)		SERVICE FEES YEARS 11+ (1,2)	
					YEARS 2-5	YEARS 6-10		
ANNUITIES								
Steady Choice, Flexible Premium Deferred Annuity	0-75	5.50			2.75	2.75	NA	
Flexible Premium Deferred Annuity Rider (attached to a life product)	16-55	4.00			1.25	1.25	NA	
Single Premium Immediate Annuity (SPIA)								
Premiums of $5,000 (minimum) to $9,999 (maximum)	16-98	1.18			NA	NA	NA	
Premiums of $10,000 (minimum) to $100,000	16-98	4.10			NA	NA	NA	
Premium portion in excess of $100,000	16-98	1.18			NA	NA	NA	
MULTI-YEAR GUARANTEE ANNUITY (MYGA)					37th Month %	61st Month %	109th Month %	121st Month %
3-year	0-75	1.85			0.925	NA	NA	NA
	76-85	1.47			0.735	NA	NA	NA
5-year	0-75	2.10			NA	0.90	NA	NA
	76-85	1.72			NA	0.72	NA	NA
9-year (CA only)	0-75	2.60			NA	NA	1.30	NA
	75-85	2.15			NA	NA	1.05	NA
10-year (5)	0-75	2.60			NA	NA	NA	1.30
	76-85	2.15			NA	NA	NA	1.05
PERMANENT LIFE INSURANCE								
Single Premium Whole Life		(Band 1) $5,000-$24,999	(Band 2) $25,000-$99,999	(Band 3) $100,000+				
	40-85	9.50	11.50	12.50	NA	NA	NA	
Simplified Issue Whole Life (SIWL)	50-75	105.00			4.25	2.25	0.00	
	76-80	90.00			4.25	2.25	0.00	
	81-85	70.00			2.25	1.30	0.00	
Graded Death Benefit Whole Life (GDB)	50-75	67.50			4.25	2.25	0.00	
	76-80	57.50			4.25	2.25	0.00	
	81-85	47.50			2.25	1.30	0.00	
Guaranteed Issue Whole Life (GI)	50-75	23.00			2.90	0.90	0.00	
	76-80	18.50			2.90	0.90	0.00	
Jet Whole Life		(Band 1) $25,000-$99,999	(Band 2) $100,000+					
Level Pay to Age 121	18-85	85.00	110.00		4.00	3.25	1.00	
20-Pay	18-80	85.00	110.00		4.00	3.25	1.00	
Jet Youth Whole Life (4)								
Level Pay to Age 121	0-17	85.00			4.00	3.25	1.00	
20-Pay	0-17	85.00			4.00	3.25	1.00	
TERM LIFE INSURANCE								
Jet Term Life								
15-Year Level Premium Term	18-65	110.00			NA	NA	NA	
20-Year Level Premium Term	18-60	110.00			NA	NA	NA	
30-Year Level Premium Term	18-50	110.00			NA	NA	NA	

(1) Stated as a percentage of premium paid (2) Less any commission earned by sub-agents assigned to you
(3) Commissions to Target can be satisfied in durations 1 or 2 (4) Banding not applicable to juvenile rates
(5)) Florida 10-year MYGA does not have 11th year renewal (6) Available to California and Delaware

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Commission Summary Royal Neighbors of America

This Commission Summary is intended to be a summary of the information contained in the Commission Addendum. The Contract to Represent, Annualized Financial Agreement, and Commission Addendum are the controlling documents with regard to all commission payments. The aforementioned documents supersede information contained herein, and those documents will govern in the event of any conflict with this Commission Summary document.

Commissions paid by Royal Neighbors of America are earned by agents based on premiums actually received and retained, regardless of advance status. In the event that premiums discontinue, are returned to the member, or reversed, future commissions may be suspended, and any overpayments of commissions based on premiums not received, returned, or reversed will be charged back to the agent account.

- Policy Fees are fully commissionable.
- Commissions for riders, if not explicitly outlined in the Commission Addendum, will be paid according to product specifications, if such riders are deemed commissionable.
- Commissions will not be paid on certificates continued in force under any waiver of premium provision.
- A re-issue of a certificate for the purpose of changing a premium amount will result in a re-calculation of commissions; the net difference in commissions will be charged back or paid.
- Commission payments are initiated or mailed the business day following the Commission Statement Run Date. Payments sent via electronic funds transfer (EFT) are available in the direct deposit account on file 1-2 business days following payment initiation.

Life Insurance Certificates

Advance Commissions

Advance commissions are paid before the receipt of the premium upon which commissions are based. When Royal Neighbors pays an advance for a newly activated certificate, a “Deferred” or “Secured” Advance Balance is created on the agent account, secured by the active status which is based on expected future premium payments. Anytime a certificate is surrendered, lapsed, or not taken during the Free Look period, any outstanding advance balance associated with the terminated certificate becomes unsecured, and is immediately due from the agent.

Earned Commissions

Earned commissions are paid and/or credited based on premiums received. If premiums are returned to the member or reversed for any reason, the corresponding commission will be charged back to the agent account and immediately due from the agent.

Death of Insured

Any premiums refunded to the beneficiary will result in a charge-back of the associated commissions calculated from refunded premiums.

If an insured’s death occurs during the two-year contestable period* on a life insurance certificate, the death may be investigated. In the event that material misrepresentations are discovered which are material to the risk accepted or the hazard assumed by Royal Neighbors, the contract may be rescinded and premiums refunded to the beneficiary. In the event of a refund of premiums, a 100% commission chargeback will apply.
**The incontestability period is extended for fraud to the maximum extent allowable by applicable law in the state where the Certificate is delivered or issued for delivery.*

Earned commissions credited during the advance recovery period and subsequently returned or reversed for any reason will be charged back to the agent account and immediately due from the agent, thereby reducing the amount of the original advance.

Annuity Certificates

100% of commissions paid on annuity certificates will be charged back to the agent account in the event the certificate is not taken during the Free Look period.